ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 1 - EQUILIBRIUM VS. DISCOUNT

ICT Monthly Mentorship

Forex Risk Disclosure:

The National Futures Association (NFA) and CFTC (Commodity Futures Trading Commission), the regulatory agencies for the forex and futures market in the United States, require that customers be informed about potential risks in the forex market. If you don't understand any of the information provided on this page, please contact us or seek advice from an independent financial advisor.

Risk Associated with Forex Trading Off-exchange foreign currency trading on margin carries a high level of risk and may not be suitable for all investors. The high degree of leverage can work against you as well as for you. Before deciding to invest in foreign exchange you should carefully consider your investment objectives, level of experience, and risk appetite.

The possibility exists that you could sustain a loss of some or all of your initial investment and, therefore, you should not invest money that you cannot afford to lose. You should be aware of all the risks associated with off-exchange foreign currency trading and seek advice from an independent financial advisor if you have any doubts.

TheInnerCircleTrader.com Market Opinions:

Any opinions, news, research, analyses, prices, or other information contained on this website is provided as general market commentary, and does not constitute investment advice. http://www.TheInnerCircleTrader.com, Michael J. Huddleston, aka "ICT" and or The Inner Circle Trader will not accept liability for any loss or damage, including without limitation to, any loss of profit, which may arise directly or indirectly from use of or reliance on such information.

Accuracy of Information The content on this website is subject to change at any time without notice, and is provided for the sole purpose of assisting traders to make independent investment decisions. http://www.TheInnerCircleTrader.com has taken reasonable measures to ensure the accuracy of the information on the website, however, does not guarantee its accuracy, and will not accept liability for any loss or damage which may arise directly or indirectly from the content or your inability to access the website, for any delay in or failure of the transmission or the receipt of any instruction or notifications sent through this website.

Government Required Risk Disclaimer and Disclosure Statement:

CFTC RULE 4.41 - HYPOTHETICAL OR SIMULATED PERFORMANCE RESULTS HAVE CERTAIN LIMITATIONS. UNLIKE AN ACTUAL PERFORMANCE RECORD, SIMULATED RESULTS DO NOT REPRESENT ACTUAL TRADING. ALSO, SINCE THE TRADES HAVE NOT BEEN EXECUTED, THE RESULTS MAY HAVE UNDER-OR-OVER COMPENSATED FOR THE IMPACT, IF ANY, OF CERTAIN MARKET FACTORS, SUCH AS LACK OF LIQUIDITY. SIMULATED TRADING PROGRAMS IN GENERAL ARE ALSO SUBJECT TO THE FACT THAT THEY ARE DESIGNED WITH THE BENEFIT OF HINDSIGHT. NO REPRESENTATION IS BEING MADE THAT ANY ACCOUNT WILL OR IS LIKELY TO ACHIEVE PROFIT OR LOSSES SIMILAR TO THOSE SHOWN.

Trading performance displayed herein is hypothetical. Hypothetical performance results have many inherent limitations, some of which are described below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and the actual results subsequently achieved by any particular trading program. One of the limitations of hypothetical performance trading results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk, and no hypothetical trading record can completely account for the impact of financial risk in actual trading. For example, the ability to withstand losses or to adhere to a particular trading program in spite of trading losses are material points which can also adversely affect actual trading results. There are numerous other factors related to the markets in general or to the implementation of any specific trading program which cannot be fully accounted for in the preparation of hypothetical performance results and all of which can adversely affect actual trading results.

U.S. Government Required Disclaimer - Commodity Futures Trading Commission Futures and Options trading has large potential rewards, but also large potential risk. You must be aware of the risks and be willing to accept them in order to invest in the futures and options markets. Don't trade with money you can't afford to lose. This is neither a solicitation nor an offer to Buy/Sell futures or options. No representation is being made that any account will or is likely to achieve profits or losses similar to those discussed on this web site. The past performance of any trading system or methodology is not necessarily indicative of future results. Trade at your own risk. The information provided here is of the nature of a general comment only and neither purports nor intends to be, specific trading advice. It has been prepared without regard to any particular person's investment objectives, financial situation and particular needs. Information should not be considered as an offer or enticement to buy, sell or trade.

You should seek appropriate advice from your broker, or licensed investment advisor, before taking any action. Past performance does not guarantee future results. Simulated performance results contain inherent limitations. Unlike actual performance records the results may under or over compensate for such factors such as lack of liquidity. No representation is being made that any account will or is likely to achieve profits or losses to those shown. The risk of loss in trading can be substantial. You should therefore carefully consider whether such trading is suitable for you in light of your financial condition.

If you purchase or sell Equities, Futures, Currencies or Options you may sustain a total loss of the initial margin funds and any additional funds that you deposit with your broker to establish or maintain your position. If the market moves against your position, you may be called upon by your broker to deposit a substantial amount of additional margin funds, on short notice in order to maintain your position. If you do not provide the required funds within the prescribed time, your position may be liquidated at a loss, and you may be liable for any resulting deficit in your account.

Under certain market conditions, you may find it difficult or impossible to liquidate a position. This can occur, for example, when the market makes a "limit move." The placement of contingent orders by you, such as a "stop-loss" or "stop-limit" order, will not necessarily limit your losses to the intended amounts, since market conditions may make it impossible to execute such orders. By viewing any http://www.TheInnerCircleTrader.com text, audio, visual commentary, video or presentation, you acknowledge and accept that all trading decisions are your own sole responsibility, and the author, Michael J. Huddleston and anybody associated with http://www.TheInnerCircleTrader.com cannot be held responsible for any losses that are incurred as a result.

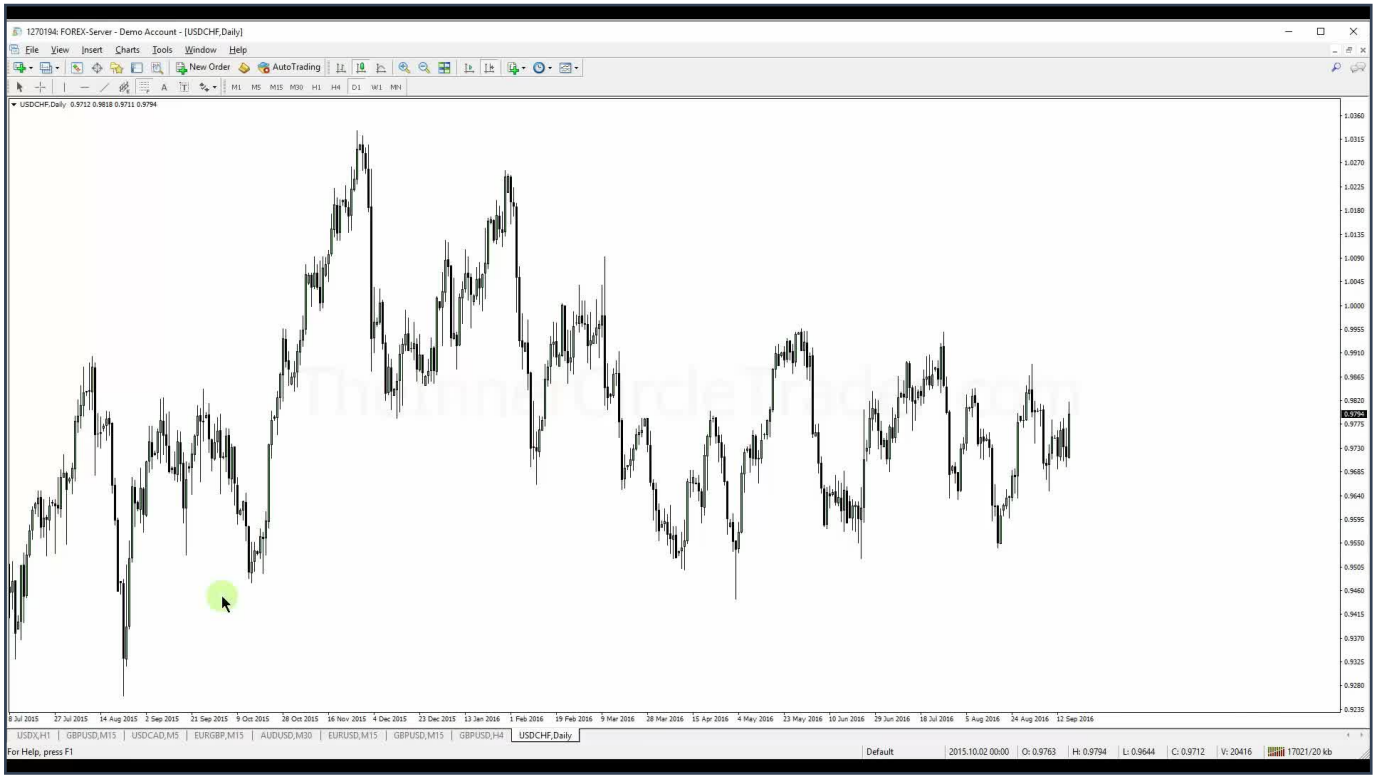
ICT Monthly Mentorship - September 2016 - ICT Teaching 4 of 8

This is the fourth of eight installments for Month 1 of the ICT Mentorship, covering Equilibrium versus Discount.

- This initial content may seem elementary to some prior pupils but will add depth to the understanding of Optimal Trade Entry.

- In 2010, the idea of looking at swing projections, retracements, and identifying Optimal Trade Entry (OTE) was introduced. It became popular due to the Fibonacci indicator, which, despite its popularity, holds no inherent magic or significance by itself.

- Understanding where the market may want to reach for requires a measure of prognostication on the trader's part; the Fibonacci tool alone doesn't do everything.



The focus is on identifying where markets are most likely to create buying conditions. This is not about specific buy signal entries but rather framing a context for new traders.

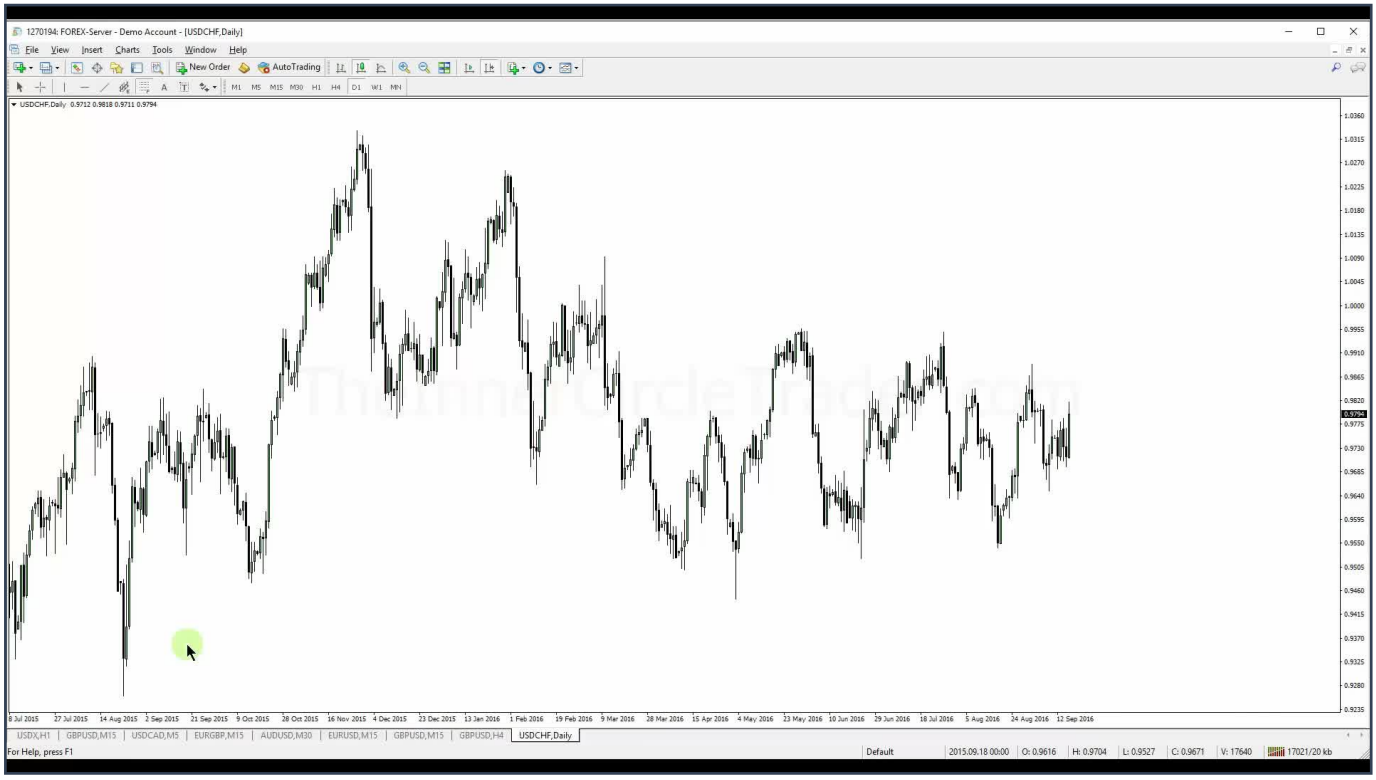
- The goal is to provide a foundational framework for technical analysis and ICT principles within a demo account (specifically the Forex Ltd demo account, as established at the beginning of the mentorship).

- To be a buyer, there must be movement orchestrated by entities with larger capital, primarily banks. Their motive is not supply and demand but greed; they move price to make money.

- Banks allow price to go higher when it suits their purpose. They offer higher prices as long as there are buyers, expanding price until interest wanes, then allowing a retracement to gather more buy stops above the marketplace.

FOCUSING ON PRICE ACTION AND IDENTIFYING IMPULSIVE SWINGS

TIMESTAMP: 00:04:37



Retail traders often focus on patterns and indicator-based ideas. However, price alone (open, high, low, close) provides all necessary information for indicating higher or lower price, and for specific entries and exits.

- Identify the biggest price swing on the chart (e.g., from a low in August to a high in September).

- Fibonacci is used solely to illustrate equilibrium, which must first be established.

- This represents the largest, or 'present market range,' being traded.

- An 'impulsive price move' or 'impulsive price swing' indicates displacement, meaning large capital (banks) has a strong conviction to move price, setting new price levels.

- Banks accumulate long positions at lower prices and then sell (liquidate) those positions at higher prices, often targeting areas above old highs where institutional fund stop-loss orders are resting.

DEFINING AN IMPULSIVE PRICE SWING AND SWING HIGHS FOR DISCOUNT MARKETS

TIMESTAMP
00:08:47

The first element to look for in price is an impulsive price swing, especially when seeking discount markets relative to equilibrium.

- An impulsive price swing starts from a low and rallies aggressively. The cause of the initial buy is not relevant.

- To identify a 'Swing High' (which signals the potential for a retracement):

  - You need four candles on any timeframe.

  - One candle to the left, which is lower than the center candle.

  - One candle in the center, which is the highest candle.

  - One candle to the right, which is lower than the center candle.

  - The fourth candle must show price going lower after this three-candle formation.

Once a swing high forms and the fourth candle indicates price is turning lower, traders should wait for price to retrace back to equilibrium.

- Equilibrium is defined as the midway point of a price move, represented by the 50 Fibonacci level.

- To identify this, draw a Fibonacci tool from the low of the impulsive swing up to its high.

- When price reaches this 50 level on a higher timeframe (e.g., the daily chart), it signifies 'fair market value.' This is a neutral to bullish condition, meaning the price is not inflated (premium) nor significantly suppressed (discount).

- At this point, traders can then move to lower timeframes to hunt for buying opportunities, understanding the higher-timeframe context.

At equilibrium, the market presents an opportunity to go long. This phase is about developing context around daily institutional price levels.

- Key steps include:

  - Identifying impulsive price swings first.

  - Allowing price to settle back down into equilibrium.

  - Discerning the next action when price reaches that level.

- As price rallies again (often to old institutional order flow reference points, such as previous highs), the Fibonacci tool needs to be adjusted to the new highest high, while maintaining the original low if it hasn't been violated.

- Sunday candles on MT4 should be ignored as they are a non-event.

- Patience is crucial; there's no need to rush to catch the high. The formation of a swing high (high candle, lower candle to the left, lower candle to the right, and a fourth candle coming lower) provides ample time to plan.

- Once price reaches equilibrium, it's considered fair market value, making it permissible for banks to buy at these levels, as they are not trading at a premium.

DISCOUNT MARKET: DEFINITION AND EXPECTED BEHAVIOR

TIMESTAMP: 00:15:54

Banks, like any buyer, prefer to purchase at a discount. Anything below the equilibrium (50 Fibonacci level) of an impulsive price swing is considered a discount market.

- When markets enter a discount, especially if the underlying context is bullish, they typically do not spend much time below equilibrium.

- A common reaction from a discount zone is a dynamic, aggressive price move away from that level, often targeting and clearing out liquidity resting above previous highs.

- For example, a trade initiated in a discounted zone, before an expansion, could yield a significant pip move (e.g., 300 pips), demonstrating the potential of these setups.

Not all impulsive price swings will retrace to the 50 percent equilibrium level immediately. If a swing continues higher without such a retracement, it's not a trade to chase.

- When a new high is broken, the Fibonacci tool should be extended from the initial price low up to the new highest high of the 'parent price swing.'

- The process of waiting for a swing high to form (using the four-candle rule) and then observing price's descent to equilibrium remains the same.

- At equilibrium, price is at fair market value and can be bought by banks. It's not based on Fibonacci's inherent magic but serves as a valuation marker.

- The institutional algo will likely enter a 'buy mode' around equilibrium, especially if existing orders are present, leading to an immediate reaction.

OPTIMAL TRADE ENTRY (OTE) - THE DEEP DISCOUNT SWEET SPOT

TIMESTAMP: 00:23:01

Following a reaction from an expected bullish level, if price establishes another impulsive swing, a new Fibonacci can be drawn on this leg.

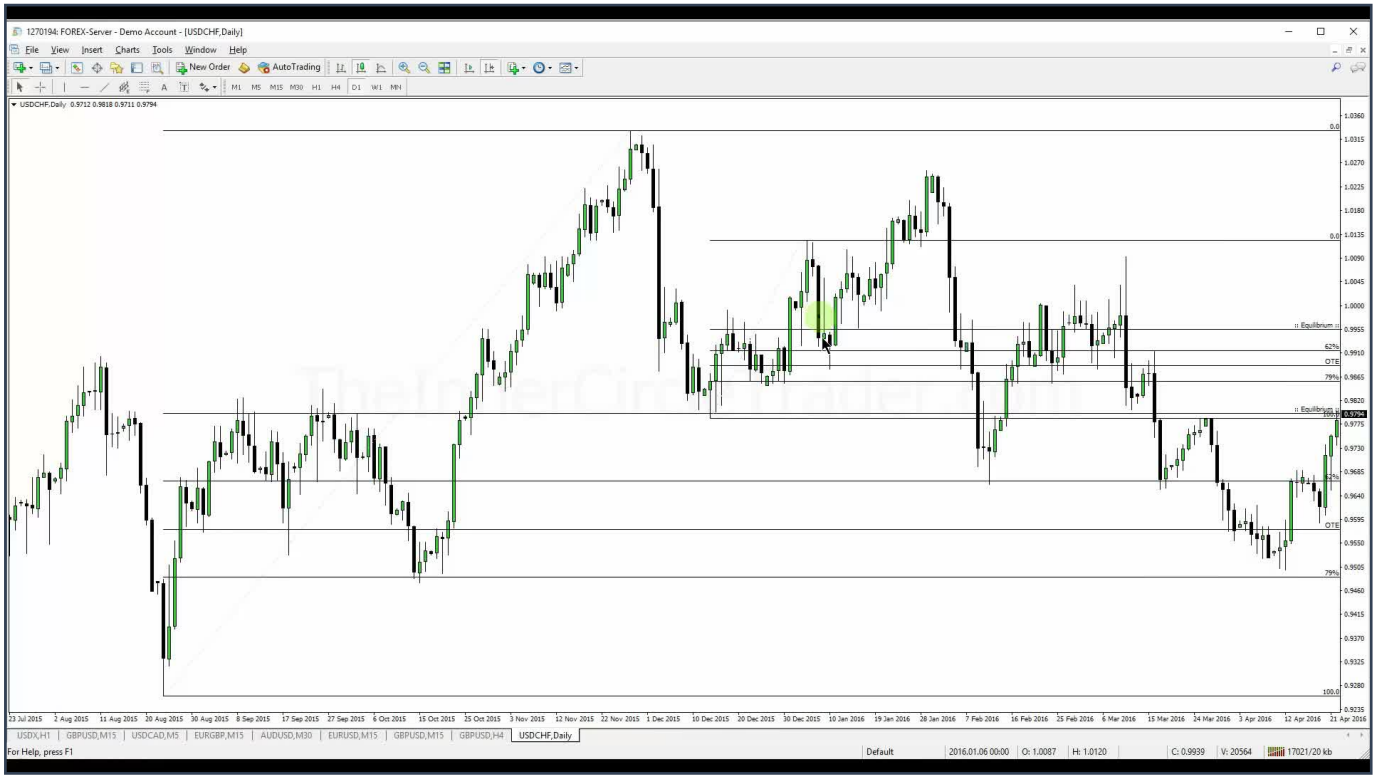
- Once a swing high forms and price begins to move below equilibrium, it enters the 'optimal trade entry' (OTE) zone.

- OTE is specifically the 'sweet spot' for buying, located between the 62 and 70.5 percent retracement levels of the impulsive swing.

- In this deep discount area, price typically gathers more orders and rallies away aggressively.

- Discount prices are generally not sustained for long when the underlying market bias is bullish.

- A key aspect of this framework is that the market is not expected to move below the low of the original impulsive price swing, which provides a natural stop-loss placement and defines the risk.



Consistently, when price makes an impulsive swing higher, the strategy is to patiently wait for it to retrace back into equilibrium or, ideally, below it into a discount.

- There is no rush; the three- or four-candle swing high formation provides ample time before price drops into the target zone.

- An explosive upside move is anticipated when the market returns to a discount, as banks will aggressively buy into these suppressed prices ('dog pile').

- High-odds, high-probability trades with explosive price action occur when price is below equilibrium, particularly in the OTE zone (62 to 79 retracement levels).

- Markets will not sustain discount prices for long if the underlying market sentiment is bullish, offering both context for buying and a measure of relative strength through dynamic price action.

- The 62 to 79 retracement levels within Fibonacci are significant not due to Fibonacci magic, but because they measure deeply suppressed price levels within a bullish framework.

DEFINING THE DISCOUNT ZONE AND MANAGING LOSSES

TIMESTAMP: 00:30:08

The current market range is defined by the highest high and the lowest low. The equilibrium of this overarching range is crucial, as any price action below it represents a high-probability discount opportunity.

- Visually shade the area below the equilibrium level to clearly define the discount zone.

- Within this discount zone, measure each subsequent impulsive price leg higher.

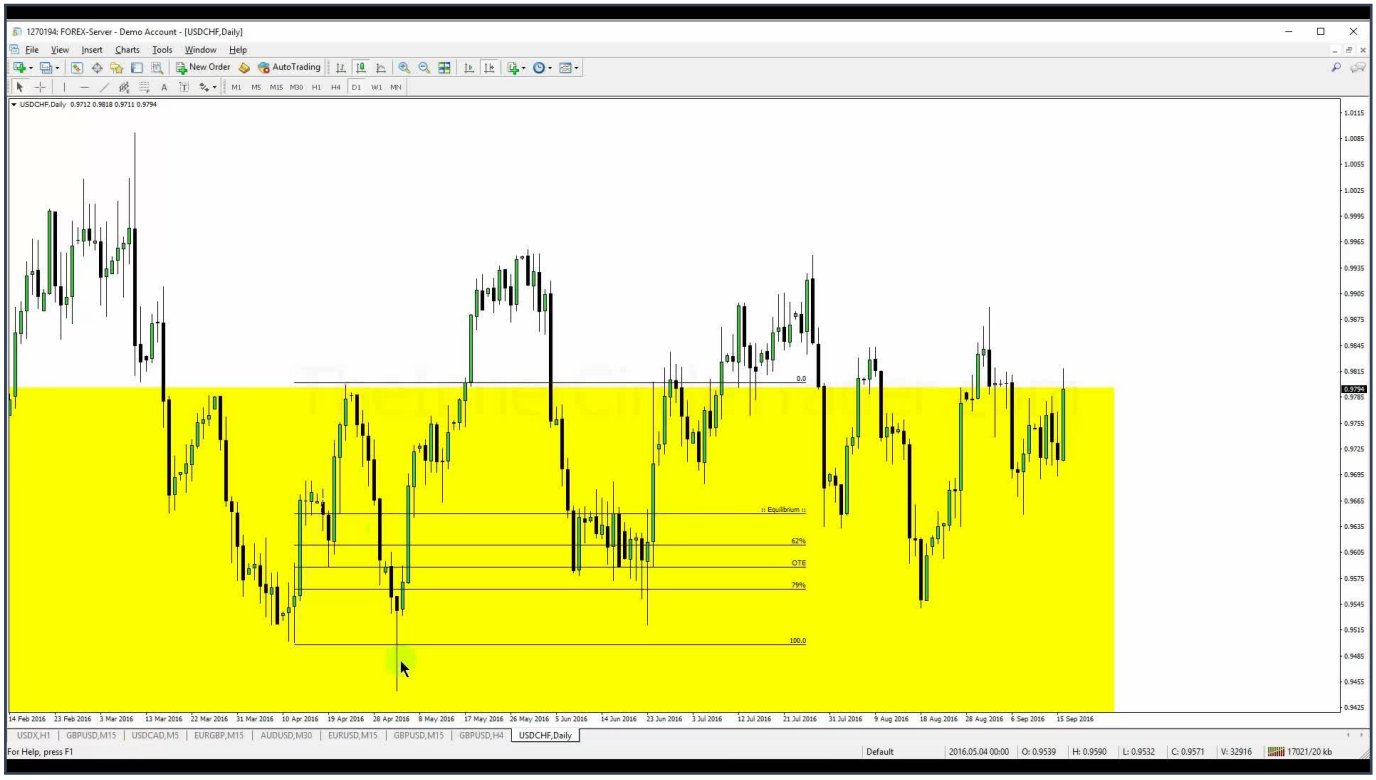
- The process involves identifying a swing high (four-candle rule) and then waiting for price to retrace to the equilibrium of that specific leg.

- It's important to understand that not every trade will be a winner; losses can occur if price aggressively trades through equilibrium and goes lower than anticipated.

- If a trade fails at equilibrium and price continues lower, this provides important information for the next potential setup.

UNDERSTANDING STOP RUNS (TURTLE SOUP) IN A BULLISH CONTEXT

TIMESTAMP: 00:31:41



When a market fails to react positively at equilibrium and continues to drop below a previous low, this often signals a 'stop run' or 'turtle soup' pattern.

- A 'turtle soup' is a false breakout pattern where price briefly moves below a significant low (taking out stop-loss orders) before aggressively reversing in the intended direction.

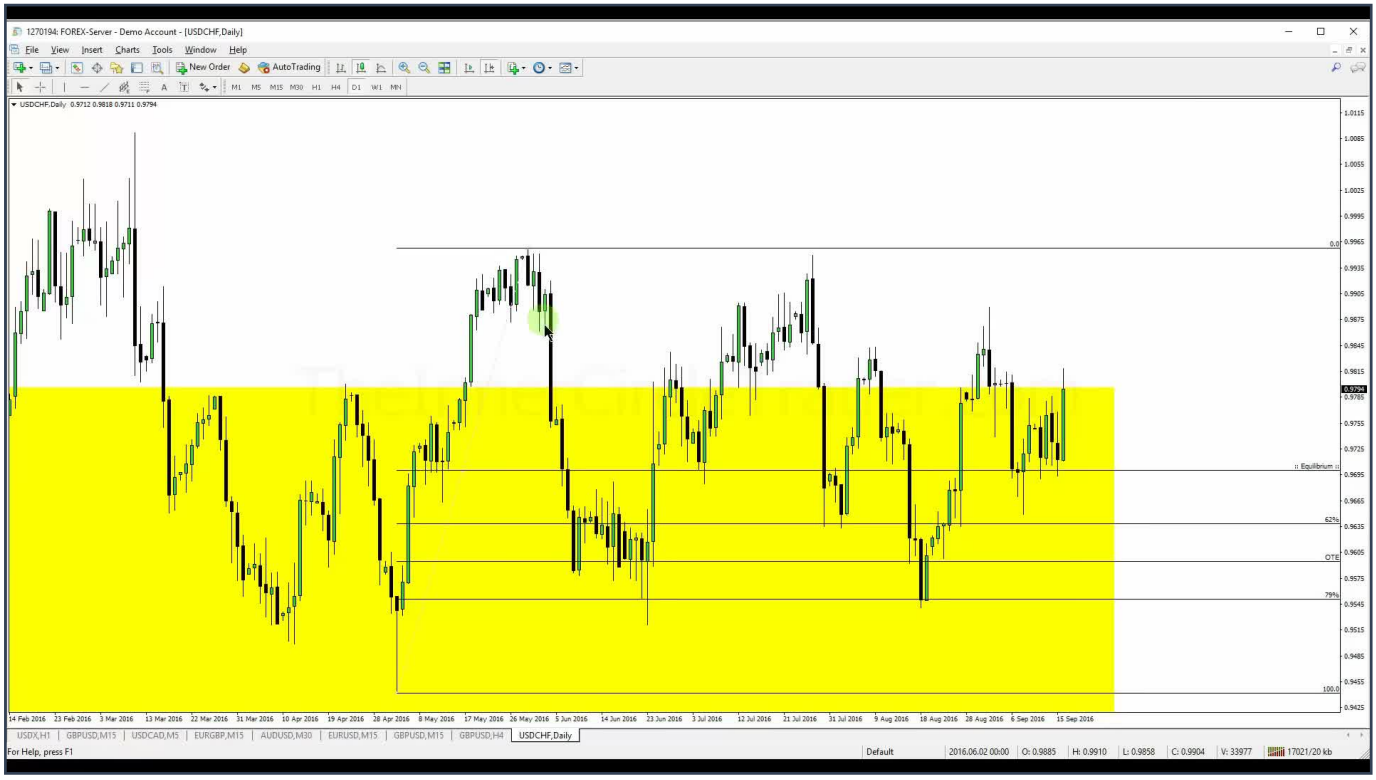
- In a bullish market context, if price violates an old low, it indicates that market makers or institutional algorithms are collecting resting orders below that low.

- The expectation following such a stop run in a bullish market is an aggressive move higher, as the market has absorbed the necessary liquidity.

- This understanding helps differentiate between a market that will continue lower and one that is preparing for a reversal.

IDENTIFYING BULLISH ORDER BLOCKS IN DISCOUNTED MARKETS

TIMESTAMP: 00:33:51



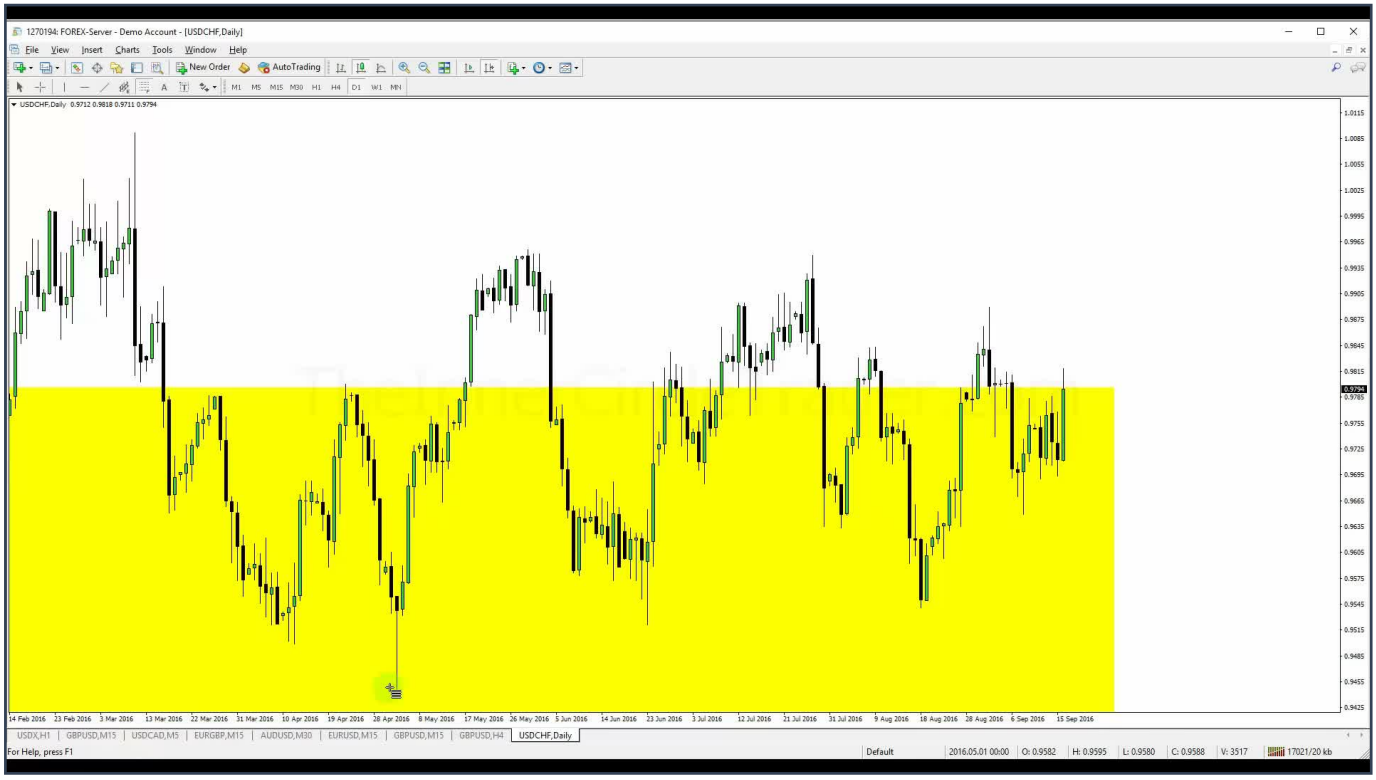
When the market enters a discount and experiences a deep retracement of an impulsive price swing, traders should look for 'bullish order blocks.'

- A bullish order block is typically formed by the last one or two down-close candles immediately preceding an aggressive move higher from a low.

- The top of this order block candle defines a key entry area. After identifying this on a daily chart, traders would descend to lower timeframes (e.g., 4-hour, 60-minute, 15-minute, 5-minute) to find precise buying opportunities within this discount area.

- The expectation upon hitting a bullish order block in a discount is an immediate and aggressive move away from that level.

- For profit-taking, traders can look for 'bearish order blocks' (the bottom of a bullish candle preceding an aggressive move down) at higher price levels.



The underlying principle involves understanding how institutional players engineer liquidity to facilitate their trades.

- In a bullish market, when price dips into a deep discount (e.g., 79 retracement) and also 'blows out' an old low, it signifies a stop run. This is a deliberate action by market makers to gather liquidity (sell stops) for their large buy orders.

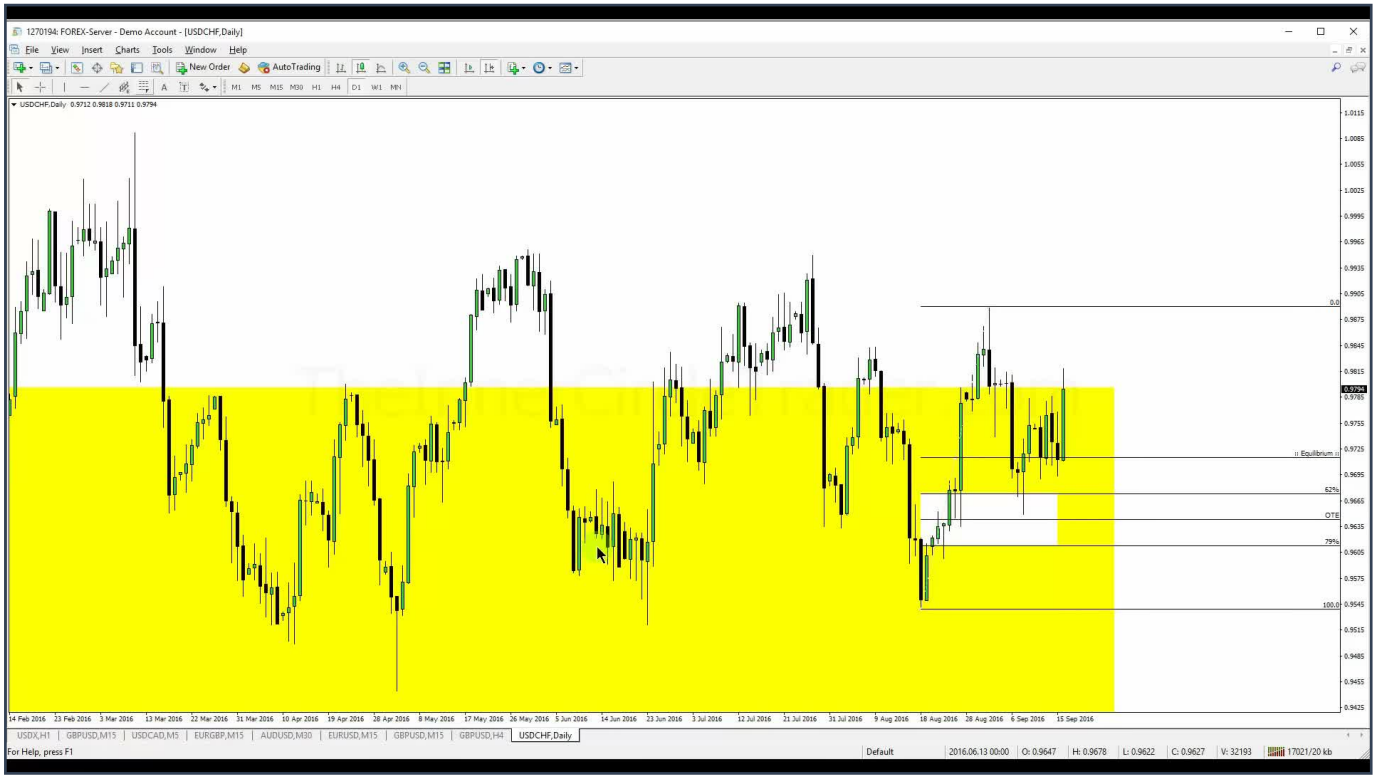
- The framework provides clarity on defining risk (stop loss below the low of the impulsive swing) and identifying reward targets (reaching for old highs).

- Profit-taking for long positions typically occurs above old highs. It doesn't need to be the absolute oldest high; rather, market makers allow price to retrace to build up buy stops above recent highs. These buy stops, when triggered, become market orders to buy, into which institutions can sell their accumulated long positions.

- This entire process, from accumulation at discount to distribution at higher liquidity points, constitutes institutional order flow.

UNIVERSALITY OF EQUILIBRIUM AND DISCOUNT ACROSS TIMEFRAMES

TIMESTAMP: 00:47:49



The principles of equilibrium and discount are universal and apply across all timeframes, from daily to hourly charts.

- Even on an hourly chart, if an impulsive price swing does not retrace to equilibrium, it's a missed trade, and traders should not chase it. Patience is key.

- When a new impulsive swing forms, price must get down to the 62 percent retracement level (minimum) for it to be a high-probability discount entry. If it does, expect an aggressive rally.

- After an initial expansion, price often returns to equilibrium for consolidation before another expansion phase. Profit targets are typically above short-term highs, where liquidity (buy stops) resides.

- Price may also target bearish order blocks (e.g., the open of a bullish candle) for precise profit-taking.

THE CONSOLIDATION-EXPANSION CYCLE AND LIQUIDITY TARGETS

TIMESTAMP: 00:50:00

The market operates in cycles of consolidation (often around equilibrium) and expansion.

- When price enters the 62 percent retracement level (discount) and then returns to equilibrium, it frequently consolidates before a subsequent expansion.

- This expansion phase targets liquidity above the marketplace, specifically buy stops located above previous highs or equal highs.

- Market makers will drive price to these liquidity pools to fill their sell orders, often overshooting previous highs by 10-20 pips.

- Equal highs are considered 'too clean' and are prime targets for liquidity runs.

- While equilibrium represents fair market value, traders ideally seek discount prices (below equilibrium, especially 62-79 percent retracement levels) for the highest probability of explosive bullish moves, followed by a consolidation phase at equilibrium and then further expansion to liquidity targets.

RECOGNIZING TURTLE SOUPS AND DISCOUNTED BUYS (SUMMARY)

TIMESTAMP: 00:52:45

In a bullish market, if price sweeps out a previous low and is below equilibrium, it's a 'turtle soup' (stop run) and should be anticipated to aggressively reject and move higher.

- Once stops are taken out, the market is not expected to go significantly lower but rather to retrace, often back into the optimal trade entry (OTE) zone below equilibrium, offering a second opportunity to buy.

- Fibonacci is a visual aid to identify equilibrium and discount zones, but the underlying reason for price movement lies in the market's response to these valuation points.

- Key favorable buying conditions for explosive moves:

  - Price must move from equilibrium into a discount (below 50 percent).

  - The ideal discount zone is the 62 to 79 percent retracement levels.

- If price goes below an old low while in a bullish context and discount, anticipate a stop run and a sharp reversal (turtle soup).

- These are the foundational concepts that must be understood before applying specific bullish patterns or indicators like order blocks, stochastic divergence, or optimal trade entry.